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DREAM MACHINE | Creative AI News & Insight { August 2026 - Issue 40 }



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| Software Engineer



August 5, 2026

Welcome to edition 40 of Dream Machine. Covering **AI in the Creative Industries**: Film, Music, Games....

Created and curated by [DreamLab](#), a collective of artists, creative technologists, directors, games & software developers..... including Emmy winners, PhD researchers, and BAFTA recognised talent.

You can also listen to the [Dream Machine Podcast](#) 🎧 and for deeper insights and full on analysis, along with some predictions and advice about where this is all going... check out the [Dream Machine: Artificial Intelligence and the Next Creative Economy](#) Book, now updated to the 3rd edition.



Editor's Pick: Can AI write better stories?

A new study has found that readers often rated AI generated short stories as higher quality and more engaging than human written ones.... and frequently couldn't tell which was which.

There's an interesting nuance here: the study isn't saying AI is *objectively* better at creativity. It highlights how strongly audiences respond to the finished work, regardless of who, or what, created it.

That raises an increasingly important question for the creative industries: if audiences can't reliably distinguish AI generated work from human work... and in some cases actually prefer it, as we've also seen in previous studies around AI-generated music... what does that mean for how we evaluate creativity, quality and authorship?

Read more-<https://www.theguardian.com/technology/2026/aug/05/ai-generated-stories-rated-better-quality-than-human-written-ones-study-finds>

Video, Film, TV & Animation

- Hollywood is entering its AI era & How it is quietly playing a role in every aspect of film-making (featuring work from the Dream Machine book) [LINK](#)
- Hollywood Fights AI In Public While Quietly Building It Into Movies [LINK](#)
- Steve Penk's prank calls animated by ITV Studios using AI [LINK](#)
- Higgsfields 95-minute AI feature film, Hell Grind, is now fully open-sourced for the Higgsfield Global Film Festival. [LINK](#)
- NVIDIA has created a tool for detecting whether videos contain AI content, designed for use in newsrooms: [LINK](#)
- AI labels to be compulsory on authentic-looking content under EU rules [LINK](#)
- Sir Martin Sorrell has identified the key AI skill for the future: 'People who share will be the new kings and queens' [LINK](#)

Games, Immersive & Interactive

- AI startup Reforged Labs shuts down as the "gap we were selling into is closing" [LINK](#)

- How AI agents could impact mobile gaming monetisation [LINK](#)
- Snail Games showcases AI companions designed to transform multiplayer gaming [LINK](#)
- Where Do Game Ideas Come From? Inside the AI Tools Powering Indie Developers [LINK](#)
- Jars AI co-founders join Roblox's Foundation AI team [LINK](#)

Music & Sound



- How Spotify runs agents across 20M+ lines of code, with Niklas Gustavsson [LINK](#)
- Spotify Partners With Merlin to Let Fans Legally Create AI Remixes and Covers of Licensed Tracks [LINK](#)
- The major labels propose rules to keep AI slop off the charts [LINK](#)
- Suno has lost a landmark AI copyright lawsuit to German music rights society GEMA [LINK](#)
- Key EU AI Act rules now being enforced – so how does that affect the music industry? [LINK](#)
- Milk & Honey Founder Files \$5 Million Lawsuit Against Silicon Valley Power-Couple Over Alleged AI Music Swindle [LINK](#)
- Sonarworks expand SoundID VoiceAI library [LINK](#)
- Startup SoundGate launches an 'AI tutor' for learning guitar [LINK](#)
- Wrinkles, a new app that Turns Local History Into An AI Audio Guide [LINK](#)

More Creative AI News

- AI-generated stories rated better quality than human-written ones, study finds [LINK](#)
- Inside Google's Efforts to Get Creatives Hooked on AI [LINK](#)
- Niantic Spatial and HMCI Are Building the Foundation for City of Rancho Cordova's First Digital Twin for Physical AI [LINK](#)
- Design Arena creators raise \$7.9 million to bring 'taste' to AI models [LINK](#)
- What Startups Need to Do Before the EU AI Act's August 2 Deadline? [LINK](#)
- AI Now Responsible for a Third of US Economic Growth [LINK](#)
- How Britain's Creative Economy Could Shape Its AI Future [LINK](#)
- Everyone in the U.K., aged 18 and over, can now become a co-author of A National Portrait by Es Devlin at the National Portrait Gallery in

- What does the biggest AI copyright payout in history actually change for creatives? [LINK](#)
- Snapchat will no longer recommend AI slop [LINK](#)
- LinkedIn adds a button to report AI-generated 'slop' [LINK](#)
- Small-business owners embrace creator role, using AI [LINK](#)
- Ethical AI Digital Twins Are Emerging as the Next Creator Economy Frontier [LINK](#)

Tool Drops and Tutorials

- A New Tool Aimed at Solving Synthetic Filmmaking Is Being Unwrapped at Autodesk [LINK](#)
- Elevenlabs Character Casting in ElevenCreative Audiobooks- Every character in your book has a voice. Character Casting helps you find it. [LINK](#)



- Dreamina Seedance 2.5 is now live [LINK](#)

Luma Layers

- Layers is now live in Luma Agents. Ask the agent to extract layers from any image [LINK](#)

Rokoko Visio 3.0

- Rokoko Vision 3.0 is here [LINK](#)
- Mesh2Motion Release 12 IS Out, with some quadroped updates [LINK](#)

Leaptalk

- LeapTalk. Real-time audio-driven talking-head generation [LINK](#)
- Qwen 3.8 Max is out: A New Bar for Coding and Cowork [LINK](#)
- ByteDance Unified Audio AI Collapses Voice, Sound, and Music into One Model: SwanTale [LINK](#)

FLUX 3 Video

- FLUX 3 Video from Black Forest Labs is out. [LINK](#)
- Wayve Introduced GAIA-4, the latest evolution in our their line of world models [LINK](#)

- Finger Frame Live AI [LINK](#)
- MiniMax H3 open weights are out, with the nodes already in ComfyUI. [LINK](#)
- NVIDIA DeepStream 9.1 is here, with 13 agentic skills for building video analytics pipelines. [LINK](#)

InfinSplat

- InfinSplat (SIGGRAPH Asia 2026) is trending on - Turn a single image into a navigable 3DGS [TRY IT](#) paper: [LIN](#)

Free Blob Tracking

- Free Blob Tracker Plugin for After Effects [LINK](#)
- Hunyuan3D-Buffalo 1.0 - unified foundation for 3D generation, understanding, and editing [LINK](#)
- Run your MiniMax-H3 locally, even on Mac [LINK](#)

LucyLive

- LucyLive v1.03 - Cinema4d - Realtime Ai render [LINK](#)
- SymphonyGen, a 3D hierarchical framework for contemporary orchestral generation, [LINK](#)

Next Time...

If you've got any recommendations, opportunities or news we need to know about for our next edition please feel free to reach out.

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